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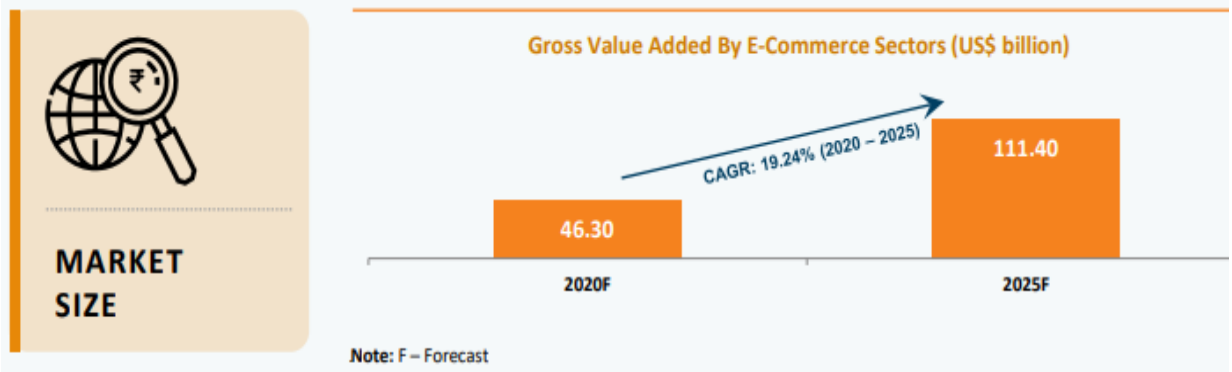
Industry Analysis
Of E-Commerce Industry

Industry Overview

With the introduction of the internet in the late 20th Century and its first use on 1st January 1983, the world has seen a drift and change. There is rapid penetration of the internet around the world and digitalization is the new trend. Book Stacks Unlimited is one of the first online shopping websites. After that, there was no turning back. Now there are as many as 500 websites for online shopping websites in the world. This is what E-commerce is. E-Commerce is a business model that lets firms and individuals buy and sell things over the internet.

The E-Commerce Industry is comprised of companies that provide hassle-free end-to-end buying and selling experience to the customers in the form of comfort, variety of products, payment, tracking orders, and shipment at SPOC. It offers various benefits to the seller, such as a global reach, minimal transaction costs, higher margins of profit, direct communication between the parties involved, and quick delivery of goods and services, furthermore, E-commerce enables organizations to conduct business without maintaining a physical presence, thereby minimizing the infrastructure, communication, and overhead costs



Porters' 5 forces

- **The threat of New Entrants (High)**
  There are virtually no barriers as it is quite easy for anyone, in this current time of digitalization and technological advancement, to start his/her own website or start an online business. This leads to higher chances of new businesses coming and we can witness it as we can see new and new websites joining the internet. There are currently more than 2000 e-commerce platforms in the world.
  Though the entry of an intermediary platform like amazon is difficult as it would be difficult to bring sellers and buyers to their platform, the entry has no barrier.

- **Bargaining power of suppliers (Moderate) wrt. suppliers as businesses listed on the platforms**
  Due to a large number of platforms on the internet and easiness of making one's own website and platform, the suppliers have a strong power over the platforms as they can easily switch to the other platform or make their own website. But this strength is moderated by the fact that some platforms like Amazon, Flipkart, etc. have great goodwill and customer retention, and hence, the suppliers need to be in the likes of them or else they will lose their revenues.

- **Bargaining power of suppliers (Low) wrt suppliers -domain providers**
  The suppliers to the E-Commerce platforms are the registered domain providers who provide domain to the company which helps them in publishing their website on the internet. There is a multitude of domain providers, providing domains to businesses in the world, which allows businesses to switch to any other. Though sometimes the transition is not easy and may cost a little, the companies are free to switch to any other domain provider. This leads to the fact that the bargaining power of suppliers is quite low.

- **Bargaining power of buyers (Moderate)**
  Due to the fact that there are many platforms currently and daily new platforms are coming up(many bricks and mortar businesses are also joining the e-commerce race), the buyers have power in their hands. There is zero cost in switching and hence, the buyers have the power to switch to any platform, whenever they want.

- **Industry Rivalry (High)**
  The E-Commerce industry is near to perfect competition industry. There are thousands of platforms and companies and new entrants are coming day by day. Even the bricks-and-mortar businesses like Walmart, etc. are also joining the E-Commerce platform to compete with the existing players. This leads to a large magnitude of competition in the industry. Any new entrant has to prepare a red-ocean strategy to compete here.

- **The threat of Substitutes (Moderate)**
  The competition to the E-Commerce platforms is from bricks-and-mortar stores present everywhere. This increases the threat of substitutes for the E-Commerce industry as a person can easily go to any store nearby to buy the product of his/her choice. But, since the advent of Covid-19, the proportion of E-Commerce platforms, being the medium of purchases have increased exponentially. People are now used to using these platforms for their regular purchases

SWOT Analysis

STRENGTH

- **Cost-effective**
  Elimination of long chain of middle man, decreasing need of having brick infrastructure, and outsource logistics are helping a small business to stand at par with giants
- **No time constraints**
  The concept of 25X7 shows that online trans can be used anywhere at any time as there are no time constraints.
- **Global market**
  E-commerce's biggest strength is boundaryless access in other words no brick structure is mandatory to do business or no specific boundary is required. It enables all the companies to expand to a global level. The widening of geographic retail markets may facilitate the development of global retailers

WEAKNESS

- **Fake websites**
  Many fake websites are available on the net which promises better service and secure dealing. These websites can not only disgrace e-commerce but also bring bad names to e-commerce.
- **Fraud**
  Personal and financial details provided for trading purposes are misused by hackers for their personal undue interest.
- **Impossibility of physical examination**
  Products whose choice merely depends on the physical condition of the product that will need personal touch before selection are not suitable for e-commerce business. Online products cannot be touched, worn, or sit on the products.

OPPORTUNITIES

- **An increasing number of users**
  The daily number of internet users is increasing. People feel more comfortable shopping online.
- **High availability (24 hours and seven days a week)**
  Along with each and every click of the mouse, business is in operation. Those who are busy in the daytime and cannot spare time for themselves, have all the opportunity to shop at their convenience even during late-night hours.
- **Regular Global expansion**
  E-commerce can be operated anywhere at any time without any interruption. It always has a scope of expansion. All new population and existing population who are not the user of e-commerce are the target expansion

THREATS

- **Competitors**
  Along with the local competition, global competition also exists. Competition is increasing day by day. Big companies have already entered this field. They are making people habitual at the cost of their companies.
- **Changes in environment, law, and regulations**
  Change in trends, fashion and fad can distress E-Commerce side by side change in law and regulations can also affect it.

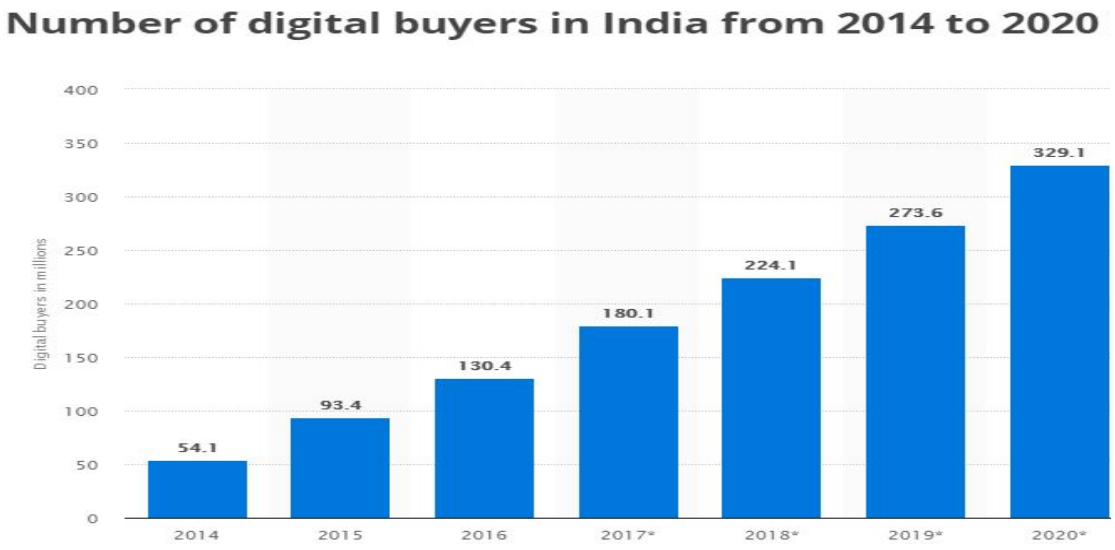
Growth Trends

- **Internet penetration is on the rise**
  Internet penetration in the country is growing rapidly, crossing 481 million in 2017, and is expected to hit 500 million users by June 2018.01 AIMIA report highlights that urban India's internet penetration was 64.84 percent in December 2017, in comparison to only 20.26 percent for rural India.02 With the rural population accounting for around two-thirds of the Indian population, coupled with the affordability of smartphones and data plans, internet penetration is likely to gain steam in rural India like never before.
- **Mobile to be the game-changer**
  Mobile is no longer a device used only for communicating, it has now become a device that also helps the Indian internet consumer with entertainment options and shopping experiences. Consumers are getting comfortable buying products and services through various mobile applications that are available, thus making mobile commerce a viable business opportunity for retailers.
- **Language diversity**
  The adoption of Indian regional languages by retailers has also led to regional customers exploring various e-commerce platforms – thus making shopping a convenient activity. Today, 234 million users use Indian languages online, in comparison to 175 million English language users. Regional language content users are expected to account for ~75% or 536 million internet users by 2021, i.e. nine out of 10 new users will be Indian language users.
- **The advent of social commerce**
  Social commerce is a platform that facilitates transacting basis social interactions and user experiences. India being a multicultural society, the concept of community buying and selling is expected to gain traction. With the ability to offer a wide array of choices, coupled with shared user experiences and referrals, social commerce is expected to impact consumer decision-making significantly.
- **Convergence of customers across multiple e-commerce businesses with the use of technology**

With smartphone users expected to increase, time spent on the internet will also drive the growth of e-commerce platforms. Ecommerce businesses now need to prepare for flexible ecosystems to let users move from entertainment to infotainment, eventually leading to online transactions. Further, several retailers are able to leverage traditional products and services with technology to make them appealing and convenient for consumers.

- **Digital wallets to ride on the growth wave**

  Significant investments in digital channels across Indian languages are expected to rise in the near future. A recent study by KPMG reveals that more than 75% of Indian language internet users prefer mobile wallets over websites and applications that have been promoted by banks. Further, the Government of India's push



towards digital initiatives is expected to accelerate the outreach and adoption of digital wallets.

- Statista

These trends are further fuelled by factors such as growth in disposable income by 55 percent by 2020 increase in the use of credit card transactions by 39% over the last year, increase in usage of debit card transactions by 98% for a 12-month period ending October 2017, mobile tariffs dropping 96% in just 3 months in 2016by ~530 million Indians. The rising comfort with digital payments and the internet, on the whole, have eventually proven to be strong growth drivers for online commerce.

Impacts of Covid-19

- The enforcement of social distancing, lockdowns, and other measures in response to the COVID-19 pandemic has led consumers to ramp up online shopping, social media use, internet telephony and teleconferencing, and streaming of videos and films.
- Demand has also increased for internet and mobile data services. The network capacity and spectrum to accommodate the shift to online activities has urgently had to be adapted by both operators and governments. Demand has fallen, however, for certain services with a large online component, such as tourism services.
- E-commerce for goods and services trade has been adversely impacted by the same factors that have caused disruption in supply and demand overall. Such disruptions have resulted in delivery delays or outright cancellation of orders. Several other e-commerce-related challenges have arisen or been further amplified during this pandemic. These include price gouging (i.e. increasing prices to unreasonably high levels), product safety concerns, deceptive practices, cybersecurity concerns, the need for increased bandwidth, and development-related concerns.
- The global nature of COVID-19 and its impact on e-commerce may encourage strengthened international cooperation and the further development of policies for online purchases and supplies. The pandemic has made it clear that e-commerce can be an important tool/solution for consumers. E-commerce can also support small businesses and, by making economies more competitive, be an economic driver for both domestic growth and international trade.

- The pandemic has highlighted the importance of digital technologies in general, but also several vulnerabilities across the world. The resulting experiences and lessons are relevant to various discussions in the WTO, including those on electronic commerce, which could benefit from looking at greater international cooperation to facilitate the cross-border movement of goods and services, narrow the digital divide, and level the playing field for (MSMEs).

E-commerce revenue model

The revenue model is a key component of the business model. It primarily identifies what product or service will be created in order to generate revenues and the ways in which the product or service will be sold. Since there are possibilities of multiple variations, many companies do not use one single revenue model. Some of the commonly used models have been enumerated below;

Advertising Revenue Model

Generally, there is always a commission charged to advertisers to put up their advertisements on a well-known online marketing platform. This is the classic principle that is being followed for the business categorized for the **Advertising Revenue model**. They take advantage of the huge traffic who regularly visit the chosen platform to shop around, see the ad, and get redirected to the actual site. Business following the **Advertising Revenue Model** presents an indirect way of earning revenue through a digital platform and the conventional ways of putting up ads generally include display marketing that includes a super banner, wallpaper, skyscraper, or rectangular ads. These are paid according to the traffic that is driven from the platform through the ads. The general income structure is based on the invoices raised against Cost per Click (CPC) or Cost per Action (CPA). Apart from the regular display marketing strategies that are aimed to redirect the traffic coming onto the eCommerce platform into the address where the ads are linked, affiliate marketing and search engine marketing are other famous ways.

Subscription Revenue Model

You must have heard of Netflix, Amazon Prime, YouTube Premium, etc who will let you enjoy their unlimited services. These eCommerce business models charge their users or rather subscribers based on a certain interval of time (daily, monthly or annual) to avail their services. The service offerings of these companies generally include music, videos, TV channels, magazines, special services, etc. which are offered to the subscribers for a price

to watch/listen or get the latest edition. Now, let me guide you through some examples of basic subscription business models.

- Premium membership: Many social media and business platforms like Xing, Linkedin, stay friends, etc. offer subscriptions to avail of additional services that get the subscribers access daily updates, newsletters, short notices, etc. This information and quick updates are delivered to them directly to their account.
- Internet service providers: We all are familiar with the monthly and annual subscription of internet service providers or rather a broadband connection enabling the subscribers to enjoy unlimited internet service.

Special services

We all know that every eCommerce business has one thing in common and that is their payment gateway. These are companies like Paypal, VeriSign whose subscription fee depends upon the SSL certification and the period of service.

- **Transaction Fee Revenue Model: The eCommerce business** following the transaction fee revenue model charges a fee to a seller for every transaction made through them. They are the payment companies that provide the payment gateway service to other **eCommerce business platforms**. Generally, the profit is derived through enabling or executing transactions.
- The operator provides a platform for the **eCommerce marketplace** through which the transaction can be completed.

Sales Revenue Model

This is the most commonly followed **eCommerce business model** where wholesalers and retailers sell their products over the internet intending to reach out to a larger target audience. Also, more importantly, this model brings inconvenience for the customer as well as saves them time. And the hassle to walk up to their physical store. The prices are often competitive in comparison to the actual store price. The business following the

online sales model often comes with marketplaces as common entry points that allow them to deal with various product vendors allowing them to grow the marketplace and therefore earn more. In certain cases, the sales are directly injected into the business where the profit is shared with none. Based on the size of the business and the point of sales traffic, certain functionalities of the business are transferred to third-party vendors, generally done for the logistics and supply chain. Examples can be cited in terms of all the single shop companies selling their brand products over the internet through their online platforms. This forms a dedicated way of doing sales and reaching out to a vast number of customers. Amazon, Otto, etc are examples of businesses following such a model for their web catalogue-based business over the internet. Also. Buy.com, Etsy are examples of such marketplaces while iBood, woot! guut.de are examples of live shopping marketplaces.

Affiliate Revenue Model

Merchants and vendors partner up with well-known eCommerce platforms to advertise and sell their products giving them a percentage of the profit as a commission. An **affiliate marketing** is a well-known way of inviting as well as driving quality leads into their business. The process basically works as a link that is hyperlinked to the affiliate and is archived on a host platform that gets regular traffic. Any user who clicks to the affiliate link is redirected to their website where the product or service is catalogued. The affiliate or the merchant thus pays an agreed commission to the host operator who's carrying the link for every traffic driven. Amazon and affiliate are well-known examples that let you affiliate your product links and drive traffic. For each lead driven to your website, you need to pay a certain percentage to Amazon or affiliate as their commission. Interestingly, this brings a win-win situation for both the merchant, who sells his product and the affiliate who advertised or marketed their product. Such an **eCommerce business model** utilizes different variations such as pay-per-click, banner exchange and also, revenue sharing programs that aim at driving the audience from one platform to another.

Government Initiative

India has created several laws and regulations to govern present e-commerce activities. Some of these include the Income Tax Act, 1961; Consumer Protection Act, 1986; Information Technology Act, 2000; Foreign Exchange Management Act, 2000; Payment and Settlement Systems Act, 2007; Companies Act, 2013; and laws related to goods and services tax.

The Indian government under the portfolio of the Finance Ministry has approved the creation of a "Government e-Marketplace" (GeM) through the department of Directorate General Supply and Disposal (DGS&D) for government purchases.

The Government of India started an online trading platform for farmers in order to connect them to a network of wholesale agricultural markets.

The Government of India under the Ministry of Women and Child Development launched an eCommerce portal for women entrepreneurs known as Mahila e-haat. This eCommerce marketplace platform allows women to enlist and showcase their products online without any additional cost.

In order to increase the participation of foreign players in the eCommerce field, the Indian Government hiked the limit of foreign direct investment (FDI) in the eCommerce

marketplace model for up to 100%Furthermore, the extension in the FDI is allowed for business-to-business (B2B) sector only and not for business-to-consumer (B2C) basis.

Investment trends

The fastest-growing e-commerce market in the world
The Indian e-commerce industry has been on an upward growth trajectory. India's e-commerce market is growing at a YoY rate of 5% with estimated revenue of $56.6 billion in FY 2021. it is predicted to surpass the United States to become the second largest e-commerce market globally.
Through its Digital India campaign, the Government of India is aiming to create a trillion-dollar online economy by 2025. India e-commerce is expected to reach US$99 billion by 2024, growing at a 27% CAGR over 2019-24, with grocery and fashion/apparel likely to be the key drivers of incremental growth. Online penetration of retail is expected to reach 10.7% by 2024, versus 4.7% in 2019, while online shoppers in India are expected to reach 220 million by 2025.

Cost to Setup

The following table shows the size, requirement, and output of an Ecommerce Business

Parameter	**Requirements (In INR)**
Turnover	10-110 lakhs per month
Average no of orders(@1000 per order)	6,000

Typical IT infrastructure	Self-hosted on AWS, Rackspace, etc. The software could be Magento or a similar product
Legal status	Pvt. Ltd. / LLC: VAT/CST, Accounts, Audits, Payroll
Employees	5 – 10 (including professional skills – tech, marketing, accounting, etc.)

Initial Cost

Heads	**Cost**
Legal Formalities	1,00,000
IT infrastructure	1,00,000- 2,00,000
Office Space Infrastructure	30,000-60,000
Payment Gateway	20,000-40,000
Operating Capital (3 months fixed + one month variable)	28.5 lakhs
Total Initial Cost	36 lakhs- 42 lakhs

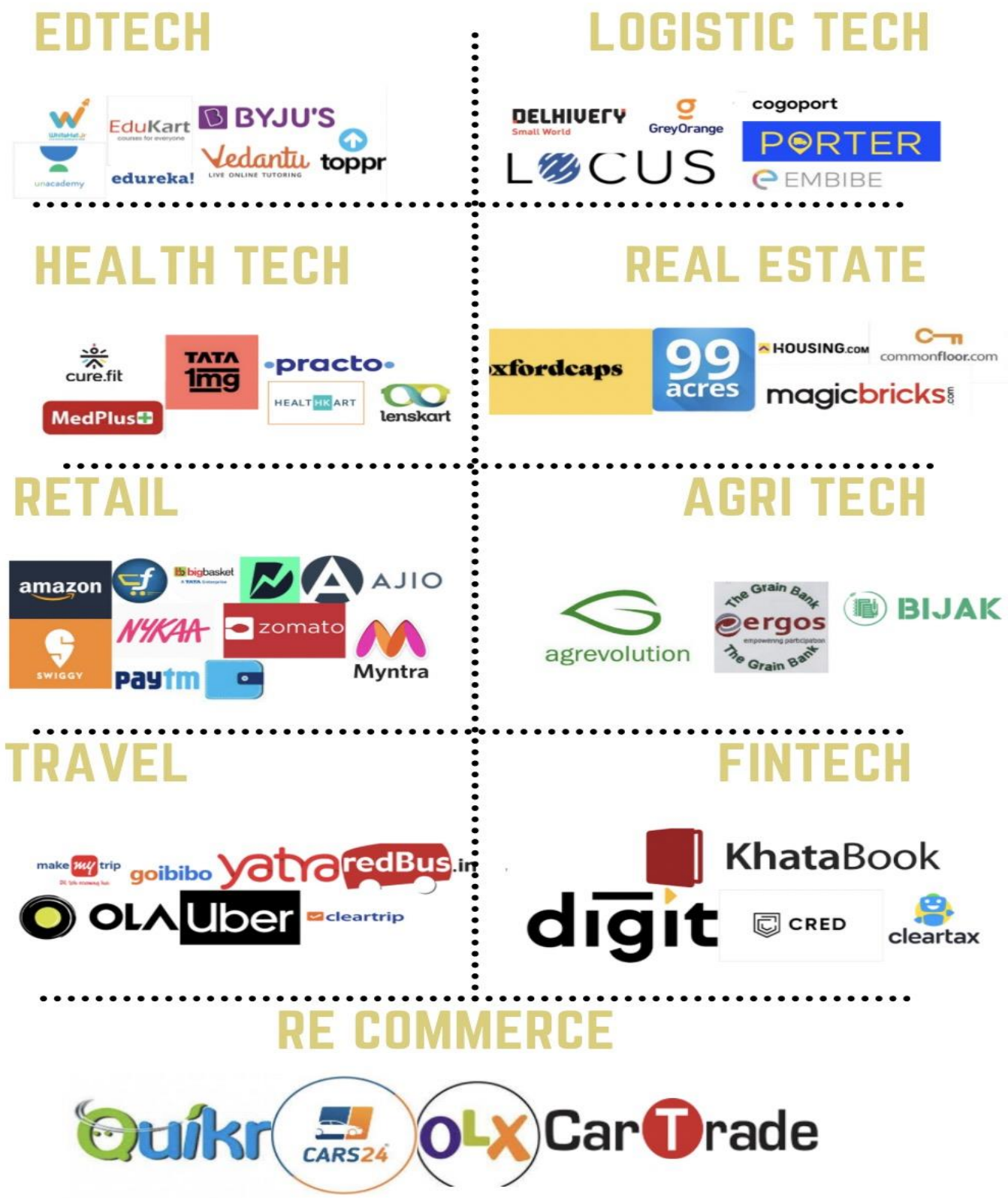
Fixed Cost

Employee salaries	5,00,000
Office rental	40,000-60,000

Variable cost

Shipping	30-60 per order
Marketing	125 per order (Assuming CPC of Rs 10, Conversion rate of 2%, 25% paid traffic)
Transaction	20 – 40 per order 2 – 4% charged by payment gateways. CoD & Paypal not considered
Total Variable cost	175-225
Gross margin / order	150 – 250
Operating margin / order	50 – 150
Total profit	250,000 – 750,000

Major Players



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